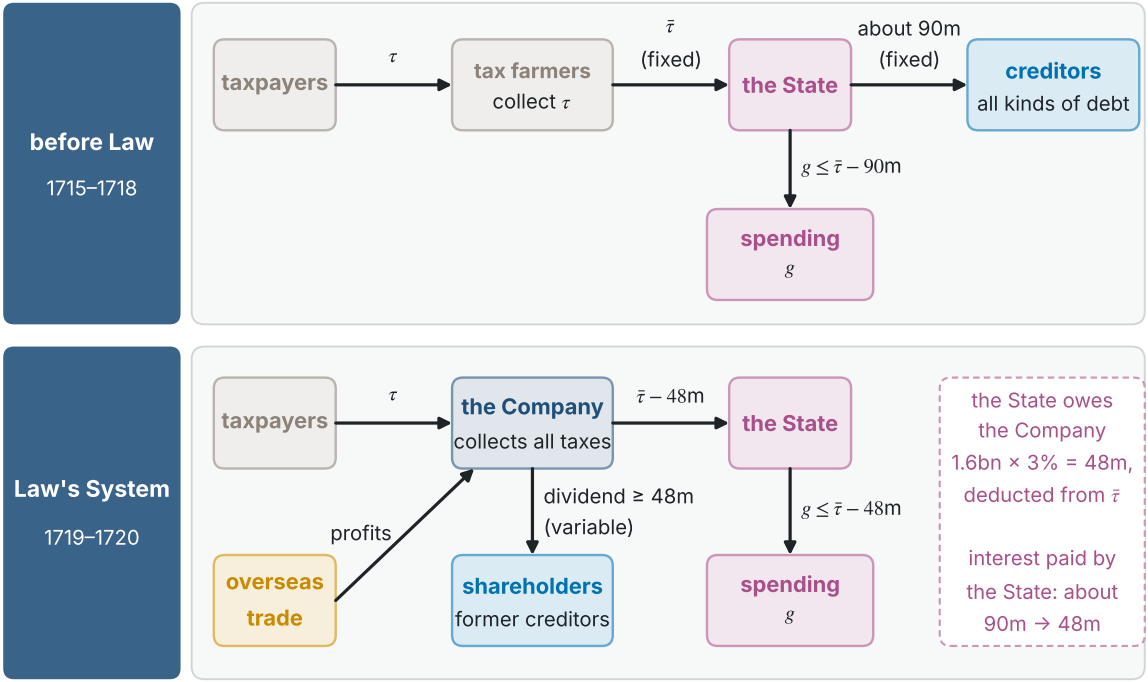
before Law
1715–1718
taxpayers
τ
tax farmers
collect τ
$\bar{\tau}$
(fixed)
the State
about 90m
(fixed)
creditors
all kinds of debt
$g \leq \bar{\tau} - 90\text{m}$
spending
g
Law's System
1719–1720
taxpayers
τ
the Company
collects all taxes
$\bar{\tau} - 48\text{m}$
the State
dividend ≥ 48m
(variable)
$g \leq \bar{\tau} - 48\text{m}$
profits
overseas
trade
shareholders
former creditors
spending
g
the State owes
the Company
1.6bn × 3% = 48m,
deducted from $\bar{\tau}$
interest paid by
the State: about
90m → 48m